Interest Rate Spillovers to the UK Gilt Curve

5-Country VAR: US, EU, CA, BR, UK

Nelson-Siegel Level, Slope, Curvature

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Methodology: 5-Country VAR on Nelson-Siegel Factors

We decompose five government yield curves (US, EU, CA, BR, UK) into Level, Slope, and Curvature via Nelson-Siegel ($\lambda = 0.10$). A 15-variable VAR(1) is estimated on weekly data (2005–2026, $N = 1112$ obs).

Cholesky ordering: US → EU → CA → BR → UK

Rationale: UK is placed last as the "receiver" of interest. US is most exogenous (global reserve currency).

Granger Causality Tests ($\alpha = 5\%$)

Source	UK Factor	F-stat	p-value	Sig.?
US	Level	2.45	0.062	Not sig.
US	Slope	1.22	0.300	Not sig.
US	Curvature	1.00	0.389	Not sig.
EU	Level	1.25	0.289	Not sig.
EU	Slope	1.17	0.321	Not sig.
EU	Curvature	1.04	0.372	Not sig.
CA	Level	2.52	0.056	Not sig.
CA	Slope	2.44	0.062	Not sig.
CA	Curvature	1.06	0.363	Not sig.
BR	Level	2.52	0.056	Not sig.
BR	Slope	1.42	0.234	Not sig.
BR	Curvature	1.61	0.185	Not sig.

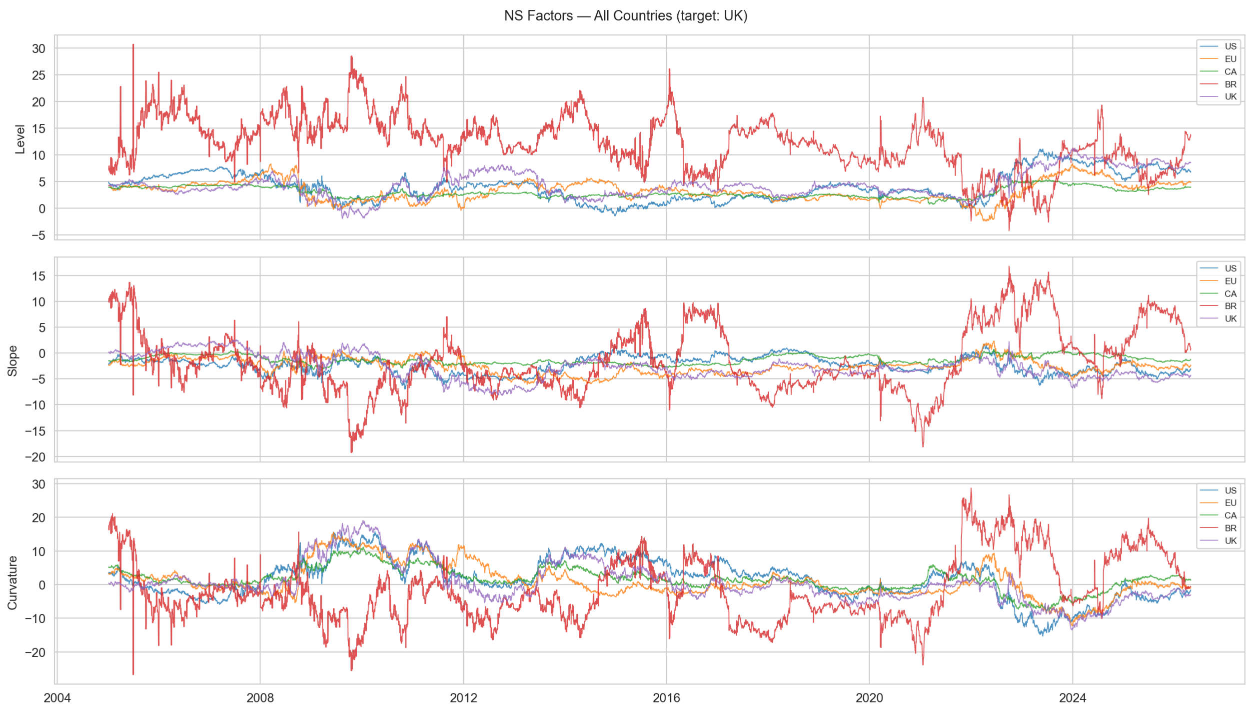

Figure 1: Nelson-Siegel factors for all 5 countries (2005–2026). UK highlighted as the target curve.

Shock Propagation to United Kingdom

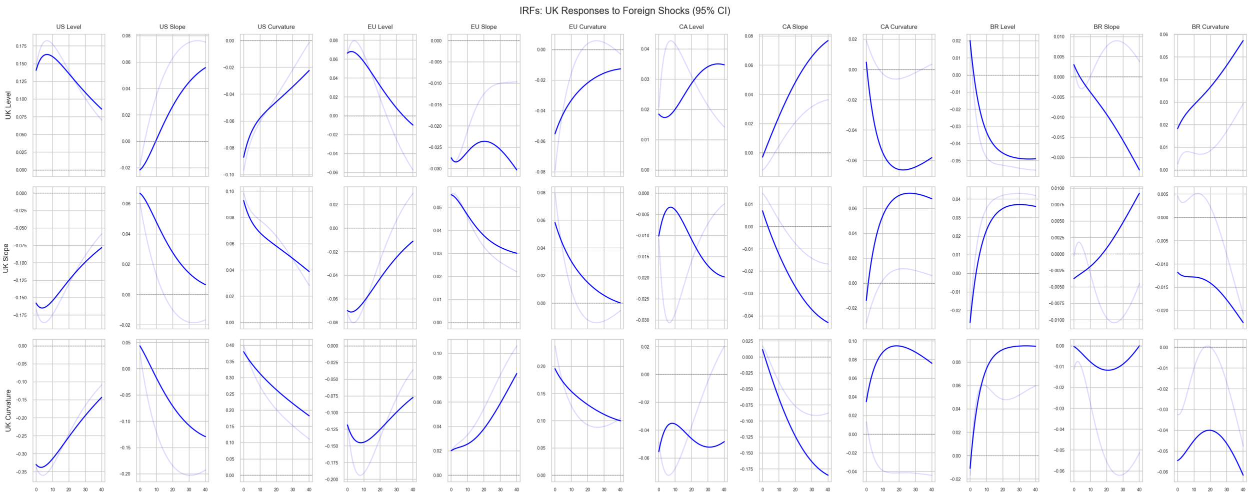

Figure 2: Orthogonalised IRFs: UK factor responses to foreign shocks over 40 weeks. Blue shading = 95% bootstrap CI.

FEVD at 52-Week Horizon (% of variance)

	US	EU	CA	BR	UK
UK Level	29.4	4.4	11.5	6.5	48.2
UK Slope	28.3	5.9	7.9	2.1	55.8
UK Curvature	44.2	11.3	9.7	3.4	31.3

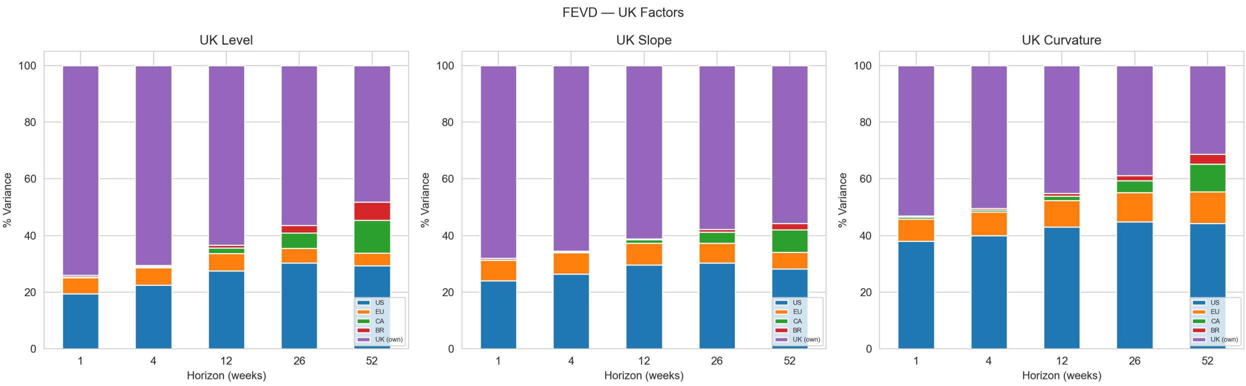

Figure 3: FEVD: share of UK factor forecast error variance by source country at horizons 1–52 weeks.

United Kingdom: Market Context (May 2026)

Macro & Fiscal Backdrop

- **Inflation:** CPI at 3.3% (March 2026), up from 3.0% in February. Energy-driven (Iran conflict oil shock, Ofgem cap ↑20% from July). BoE projects 3.0–3.5% through Q3 2026.
- **Growth:** GDP grew 0.5% in three months to Feb 2026; OBR forecasts full-year 2026 at 1.1%.
- **BoE MPC (30 Apr):** Held at 3.75%, 8–1 vote (1 member voted for a hike). Markets price ∼3 hikes in 2026.
- **Gilt issuance:** DMO 2026–27 remit at £252.1bn, above consensus. Heavy tilt to short/medium maturities.
- **Debt:** PSND at 94.3% of GDP, forecast to rise to 96.1%. OBR flags unsustainable trajectory.

Recent Market Action

- 10Y gilt: 5.06% (30 Apr), highest since July 2008.
- 30Y gilt: 5.74% (5 May), highest since 1998.
- Sell-off accelerated after MPC hawkish dissent and municipal election uncertainty.

Key Drivers Ahead

1. **UST moves** dominate UK rate variance (∼29%). Any further UST sell-off mechanically widens gilt yields.
2. **Energy/Iran:** Re-escalation pushes CPI above 3.5%, forcing BoE hikes.
3. **Gilt supply:** £252bn remit is front-loaded. Poor bid-to-cover signals absorption stress.
4. **BoE rate path:** 8–1 split suggests June hike is live.
5. **Fiscal credibility:** NIESR flags gilt market “derailment” risk.

Data: US: FRED (constant-maturity Treasury rates), EU: ECB Statistical Data Warehouse (AAA-rated), CA: Bank of Canada Valet API (benchmark bonds), BR: IPEA/ANBIMA (DI pre-fixed yield curve), UK: Bank of England IADB (nominal spot curve). Model: VAR(1) on weekly NS factors, sample 2005–2026 (1112 obs). This document is for informational purposes only and does not constitute investment advice.